CHAPTER 2

INVESTMENT STRATEGY: INVESTMENT AND SPECULATION

Investment strategy is the first issue that investors should consider. Investing is an act of faith, a willingness to postpone present consumption to save for the future. Thus, investing for the long-term is central to the achievement of optimum returns for the investor.

There are two sources of returns in the stock markets[1]:

1. Fundamentals represented by earnings and dividends,
2. Speculation represented by the markets valuation of these fundamentals.

The first is reliable and sustainable over the long run; the second is dangerous and risky. These lessons of history are central to the understanding of investing. These two sources of returns could be further classified into *Cash Flow* and *Capital Gains***.**

Cash Flow

When one believes in the fundamentals of investing, one is looking at the dividend payouts of the company. These arise from the company's earning potential, and are possible only when the company has a positive cash flow. This cash flow is a product of the fundamentals, or inherent strength, of the company, the sustainability of the business, and the robustness of the business model. Along with that there are other variables such as the quality of the management, competitive market position, core competencies, etc. Investing in such companies enables the investor to earn a regular income over many years.